Micron Technology, Inc.

MU NASDAQ

Buy	$940.87 ▼ 4.87%	12M Price Target	52-Week Range	Market Cap
		$1150.00	$186.25 – $1255.00	$1.06T

MU: Memory Darling Takes a Breather After Monster Run

WHAT HAPPENED

- MU down nearly 5% today and down ~14% over the last 5 trading days — but zoom out: this is after a monster run that took the stock near $1,255 (its 52-week high). This looks like classic profit-taking after a vertical move, not a thesis break. No news, no filings, no insider selling — just gravity.
- The options tape is screaming interesting: a put/call ratio of 0.59 (meaning way more bullish bets than bearish) AND massive unusual call buying at the $940 and $950 strikes expiring this month. Someone with real money is betting this dip gets bought.

WHY IT MATTERS

When a stock rips from $186 to $1,255 in a year and then gives back 25%, that's healthy — not scary. The real question is whether the memory supercycle is intact, and every data point says yes: HBM (high-bandwidth memory, the specialized chips that feed AI accelerators like Nvidia's) is sold out through 2027. The unusual call flow at the money tells me institutional traders are positioning for a bounce, not an exit. Watch for a base to form in the $880-940 zone — if that holds, next leg is likely higher into the next earnings print.

POLICY & POLITICAL WATCH

Micron is one of the biggest beneficiaries of the CHIPS Act — they've been awarded roughly $6.1B in federal grants to build fabs in New York and Idaho, plus they qualify for the 25% investment tax credit on equipment. The current administration's export controls on advanced memory to China are a double-edged sword: they cap some revenue but they also lock Chinese competitors (like CXMT) out of the high-end HBM market where Micron, SK Hynix, and Samsung dominate. Watch for any softening of China tech export rules in trade negotiations — that would actually be a modest negative because it lets Chinese memory producers back into the game.

IS IT EXPENSIVE?

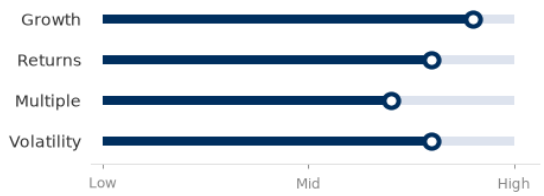
At ~$941, MU trades around 65x this year's expected earnings but closer to 42x next year's — meaning investors are paying $42 for every $1 the company is expected to earn in FY27. That sounds rich, but memory is cyclical: when the cycle turns up, earnings explode and the multiple compresses fast. Compared to Nvidia at ~35x forward, MU looks fair-to-slightly-rich, but you're paying for the fact that HBM supply is tight through 2027.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$940.87**
12M Price Target	**$1150.00**
Upside / (Downside)	**+22.2%**
Market Cap	**$1.06T**
FY2026E Revenue	**$52,000M**
FY2027E Revenue	**$68,000M**
FY2026E EPS	**$14.50**
FY2027E EPS	**$22.00**
Fwd P/E	**64.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | October 13, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$975.00	**$850.00**
6 Months	**$1300.00**	$1100.00	**$800.00**
1 Year	**$1500.00**	$1150.00	**$750.00**
2 Years	**$1800.00**	$1350.00	**$700.00**
5 Years	**$2500.00**	$1600.00	**$600.00**
10 Years	**$3500.00**	$2000.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.3% over 5 days) is ripping — likely a mix of geopolitical premium and the AI power demand story (data centers need massive electricity). Staples and Utilities also catching bids, which hints at some defensive rotation.

COOLING OFF: Tech isn't in the top movers today, and the fact that MU is down hard while Energy rallies suggests money is rotating OUT of crowded AI winners into laggards and defensives.

ROTATION WATCH: This feels like a classic "take profits in what worked, rotate into what hasn't" setup. That's usually a short-term dynamic — 1-3 weeks — before the leaders get bought back on dips.

RELATED PLAY: If you believe in the AI buildout, the second-order play right now is power — think Vistra (VST), Constellation (CEG), or GE Vernova (GEV). They sell the electricity that runs the data centers Micron's chips sit inside.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every HBM chip Micron sells ultimately ends up next to an Nvidia GPU, so they move together but Nvidia has broader customer stickiness.
- AVGO (Broadcom): Custom AI chip deals with hyperscalers keep driving earnings upgrades.

MU CONTEXT: MU has been leading the memory group on the way up and is now leading on the way down — that's just high beta behavior (meaning it moves more than the market in both directions). The fact that it's selling off harder than NVDA tells me this is positioning unwind, not a fundamental shift. When semis bottom, MU typically bounces first and hardest.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The memory cycle is real, HBM is structurally short, and CHIPS Act money is a tailwind. Not 10/10 because the stock has already moved a ton.

POSITION SIZE: 3-5% — this is a high-conviction cyclical, not a core holding. The volatility demands you size it so a 30% drawdown doesn't wreck you.

ENTRY POINTS: I'd scale in between $880-920. If it flushes to $800 on broader market weakness, back up the truck.

TIME HORIZON: 12-24 months — the catalyst is the FY27 earnings cycle where HBM revenue should roughly double.

WHEN TO BAIL: If HBM pricing drops more than 15% quarter-over-quarter, or if a major hyperscaler publicly cuts AI capex guidance, I'm trimming hard.

HEDGING: Simplest hedge is to own some SOXX puts (bets that pay off if semiconductors broadly fall) as insurance, or pair this long with a short in a weaker memory name like Western Digital to isolate just the HBM exposure.

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